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2d Session }

SENATE

~~SECRET~~

93-2

✓ Disclosure of Corporate Ownership

PREPARED BY THE
SUBCOMMITTEES ON INTERGOVERNMENTAL RELATIONS,
AND BUDGETING, MANAGEMENT,
AND EXPENDITURES
OF THE
COMMITTEE ON GOVERNMENT OPERATIONS
UNITED STATES SENATE



Ordered to be printed.—March 4, 1974

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Disclosure of Corporate Ownership

PREPARED BY THE
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AND BUDGETING, MANAGEMENT,
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OF THE
**COMMITTEE ON GOVERNMENT OPERATIONS
UNITED STATES SENATE**



Ordered to be printed.—March 4, 1974

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WASHINGTON : 1974

29-553 O

LETTER OF TRANSMITTAL

U.S. SENATE,
COMMITTEE ON GOVERNMENT OPERATIONS,
Washington, D.C., March 5, 1974.

The VICE PRESIDENT,
United States Senate,
Washington, D.C.

DEAR MR. PRESIDENT: In accordance with Senate Concurrent Resolution 59, agreed to March 4, 1974, I submit herewith a copy of a report to be printed as a Senate document entitled, "Disclosure of Corporate Ownership."

The report was compiled by the Subcommittees on Intergovernmental Relations, and Budgeting, Management, and Expenditures of this Committee and printed as a Committee Print on December 27, 1973. The purpose of the report is discussed in the transmittal letter to me dated November 26, 1973, from the subcommittee chairmen.

With kindest regards.

Sincerely yours,

SAM J. ERVIN, Jr., *Chairman.*

S. CON. RES. 59—AGREED TO MARCH 4, 1974

NINETY-THIRD CONGRESS OF THE UNITED STATES OF AMERICA

AT THE SECOND SESSION

*Begun and held at the City of Washington on Monday, the twenty-first day
of January, one thousand nine hundred and seventy-four*

CONCURRENT RESOLUTION

*Resolved by the Senate (the House of Representatives concurring),
That the compilation entitled "Disclosure of Corporate Ownership",
prepared by the Subcommittees on Intergovernmental Relations and
Budgeting, Management and Expenditures, of the Senate Committee
on Government Operations, be printed with illustrations as a Senate
document; and that there be printed five thousand additional copies
of such document for the use of that committee.*

Attest:

FRANCIS R. VALEO,

Secretary of the Senate.

Attest:

W. PAT JENNINGS,

Clerk of the House of Representatives.

LETTER OF TRANSMITTAL

U.S. SENATE,
COMMITTEE ON GOVERNMENT OPERATIONS,
SUBCOMMITTEE ON BUDGETING, MANAGEMENT, AND EXPENDITURES,
Washington, D.C., November 26, 1973.

HON. SAM J. ERVIN, JR.,
Chairman, Committee on Government Operations,
U.S. Senate,
Washington, D.C.

DEAR MR. CHAIRMAN: In cooperation with the Congressional Research Service, the General Accounting Office and consultants, our Subcommittees have assembled and analyzed materials relating to collection of information from regulated companies by independent Federal regulatory commissions.

These materials, including information supplied by companies on a voluntary basis, deal principally with information on corporate ownership, although certain other aspects of reporting requirements are discussed.

Since 1942, collection of information by government from companies has been controlled by the Office of Management and Budget and its predecessor, the Bureau of the Budget. Under Public Law 93-153, the Alaska pipeline bill, Congress removed OMB jurisdiction over the information requests made by independent regulatory commissions, and authorized the General Accounting Office to review commission requests for information from companies.

The Committee on Government Operations and our Subcommittees have direct responsibilities regarding OMB and GAO and their performance in this vital matter of agency collection and dissemination of information. We believe that the materials on this subject which we have assembled will be of use to the Congress and the public, and of special value to Members of the Committee on Government Operations. We therefore request that these materials be published as a committee print.

Very truly yours,

LEE METCALF,
Chairman,
Subcommittee on Budgeting,
Management and Expenditures.

EDMUND S. MUSKIE,
Chairman,
Subcommittee on Intergovernmental
Relations.

(III)

COMMITTEE ON GOVERNMENT OPERATIONS,
SUBCOMMITTEE ON INTERGOVERNMENTAL RELATIONS,
Washington, D.C., August 17, 1972.

Mr. LESTER S. JAYSON,
Director, Congressional Research Service, Library of Congress, Washington, D.C.

DEAR Mr. JAYSON: We shall appreciate preparation by the Congressional Research Service, in cooperation with our staffs, of a subcommittee print dealing with principal stockholders of major corporations.

The basic material to be analyzed consists of responses received from several hundred industrial, transportation, utility, retail, insurance, and bank corporations, concerning the identity of their 30 principal stockholders.

These letters, reports by companies to Federal regulatory commissions, and financial references in the Library together provide data that when collated will be most useful in consideration of S. 3923, the Corporate Ownership Reporting Act.

Our staffs have conferred with Mr. Julius W. Allen, Chief of the Economics Division and Mr. George J. Laebowitz, Senior Specialist on Taxation and Fiscal Policy on this matter.

We shall be grateful for your cooperation in this endeavor.

Very truly yours,

LEE METCALF, *U.S. Senator.* EDMUND S. MUSKIE, *U.S. Senator.*

(IV)

IN ACKNOWLEDGMENT

Many weeks of effort by several persons were required to identify security holders who use nominee accounts, and to consolidate and tabulate their holdings in various companies. The contributions of Sally Davidson, Jean Stack, Lorelei Williams, and Anne Boni are deeply appreciated, as are those of Committee Staff Editor W. Thomas Forwell and his associates with the Government Printing Office.

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INTRODUCTION

BACKGROUND

Congressional committees, Federal agencies and scholars are considering substantive issues created by the dominant role of institutional investors—bank trust departments, insurance companies, investment companies, pension funds and others, such as foundations and universities—in major corporations. At least 32 institutions are known to manage investment portfolios in excess of \$5 billion each. (They are listed in the table below.)

Their decisions can alter the stability of the market and individual companies. To minimize impact on medium and small companies, large institutional investors tend to concentrate their investments in large companies. This has led to the two-tier market, in which stocks of the largest companies trade at a considerably higher multiple of earnings than those of many medium and smaller companies, which encounter difficulty in raising equity capital.

INSTITUTIONAL INVESTORS' ROLE

The role of institutional investors is of course not limited to the acquisition and sale of stock and the right, in many cases, to vote it. Some institutional investors make loans to companies in which they invest, or provide insurance coverage. Their representatives often sit on the companies' boards of directors. Sometimes institutional investors help facilitate or block mergers.

The institutional investors' effect on medium-sized and smaller companies, and those companies' inability to pierce through nominee accounts to communicate with their own stockholders, was described to a Senate subcommittee this summer by the chairman of the Committee of Publicly Owned Companies, C. V. Wood, Jr., who is also president of McCulloch Oil Corporation. Speaking for the leadership of 469 companies with \$43 billion in assets, 1.8 million stockholders and 1.1 million employees, he testified that the institutional investors have run up

32 INSTITUTIONAL INVESTORS WITH ASSETS UNDER MANAGEMENT OF \$5 BILLION AND OVER, END OF 1972

	<i>Billions</i>
1. Morgan Guaranty Trust Company.....	\$27.4
2. Bankers Trust Company, New York.....	19.9
3. Prudential Insurance Company of America.....	18.3
4. First National City Bank, New York.....	17.2
5. U.S. Trust Company of New York.....	17.0
6. Metropolitan Life Insurance Company.....	16.5
7. Equitable Life Assurance Society.....	16.4
8. Chase Manhattan Bank.....	16.2
9. Travelers Corporation.....	13.1
10. New York Life Insurance Company.....	11.5
11. Manufacturers Hanover Trust Company.....	10.9
12. Mellon National Bank and Trust Company.....	10.5
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14. First National Bank of Chicago.....	8.4
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16. Aetna Life and Casualty Group.....	8.2
17. Scudder, Stevens and Clark.....	7.2
18. Bank of America.....	7.1
19. Harris Trust and Savings Bank.....	7.0
20. Wilmington Trust Company.....	7.0
21. First National Bank of Boston.....	6.8
22. Northern Trust Company, Chicago.....	6.7
23. Chemical Bank, New York.....	6.5
24. National Bank of Detroit.....	6.5
25. Loomis, Sayles and Company.....	6.3
26. Northwestern Mutual Life Insurance Company.....	6.1
27. Lionel D. Edie and Company.....	6.1
28. Wells Fargo Bank.....	6.0
29. Equitable Trust Company of Baltimore.....	5.5
30. Girard Bank, Philadelphia.....	5.2
31. Crocker Citizens National Bank.....	5.0
32. Security Pacific National Bank.....	5.0

Sources: *Business Week*, June 2, 1973.

Fortune, July 1973.

1973 *Money Market Directory*.

the price of the stock of the big companies with which they have personnel and business relationships. Trading in stocks of smaller and medium-sized companies languishes; their stock prices sink to new lows despite good earnings. Because the market undervalues the stock, the smaller companies cannot raise money in the market for replacement or expansion of facilities. So they have to borrow the capital they need, increasing their debt-equity ratio to dangerous highs. They borrow at escalated interest rates from the banks which are driving them deeper into debt. They cannot break through the maze of nominee accounts held by institutional investors to communicate directly with their beneficial shareholders. As a consequence, Chairman Wood testified, the smaller and medium U.S. corporations have become prime targets of the foreign companies which have recently taken over U.S. companies from bases in Italy, France, Switzerland, Germany, the United Kingdom and Saudi Arabia.¹

The multiple levers of corporate management available to institutional investors present fundamental questions regarding public policy. These matters cut across the concerns of a number of different agencies and congressional committees. Together they present questions about the nature of our industrial society—how it will be directed and controlled.

There is as yet no consensus regarding what additional Government controls, if any, should be placed on institutional investors. Indeed, there is respectable opinion that institutional controls produce beneficial effects, such as more rational and expert market analysis, and more effective oversight of corporate management.

COMMITTEE RESPONSIBILITY

However, it is clear that the Congress, the agencies and the public generally will not obtain answers to basic questions—answers that will provide the framework for reasoned public policy—without a more solid data base than is now available. The Committee on Government Operations and our subcommittees have authority and responsibility regarding the collection and dissemination of such data. So do the Office of Management and Budget and General Accounting Office under statutes subject to Government Operations Committee and subcommittee review.

This document describes corporate reporting requirements of Federal regulatory agencies regarding stock ownership, control, diversification, debts and officers. It describes deficiencies in these requirements and the procedures used to implement them as regards stock ownership and control. It presents information heretofore unavailable, because of these reporting deficiencies, regarding concentration of stock holdings. And it presents recommendations for further inquiry and action.

COMMISSION AND OMB RESPONSIBILITIES

Six Federal commissions require companies subject to their regulation to submit information regarding their ownership at least annually. Those commissions are the Civil Aeronautics Board, Federal Communications Commission, Federal Power Commission, Federal Maritime Commission, Interstate Commerce Commission and the Securities and Exchange Commission. Congress has delegated to these commissions broad authority to collect

whatever data they deem appropriate to carry out their statutory responsibilities.²

Agency requests for data have on occasion been denied, delayed or diluted by the Bureau of the Budget and its successor, the Office of Management and Budget. The budget agency based its actions on the Federal Reports Act of 1942 (Title 44, U.S. Code, Sections 3501-3511) which authorized it to coordinate collection of information by agencies from 10 or more persons or firms.

INTENT OF FEDERAL REPORTS ACT

The intent of that Act was to avoid unnecessary duplication of questions and to minimize the burden on business, especially small business, and to maximize the usefulness of information collected to other Federal agencies and the public. The hearings preceding enactment of the Federal Advisory Committee Act (P.L. 92-463) ascertained that budget agency officials reviewed regulatory commissions' requests for information in unpublicized meetings with advisory committees composed exclusively of representatives of the industries concerned. This practice has tended to discourage agencies from attempting to collect information that they, the Congress and the public need. This year the Congress, in approving S. 1081, the Alaska pipeline bill, removed OMB control over the questionnaires of independent regulatory commissions, and directed the GAO to review commission requests for information.

OWNERSHIP REPORTING REQUIREMENTS

Commission requests for company ownership data vary. (A recent General Accounting Office summary of reporting requirements with respect to stock ownership, control, diversification, debt and officers, and an excerpt of pertinent statutes prepared by our staff appear in Appendix A, page 197.) In capsule, the ownership reporting requirements, by agency, are as follows:

The Federal Trade Commission collects no information on company ownership on a recurring basis. An FTC staff study is seeking to develop data on ownership and other characteristics of the Nation's largest manufacturing corporations.

The Securities and Exchange Commission has different levels of reporting minimum—holders of more than 1, 5 or 10 percent of the stock, or the 20 largest stockholders—for different types of companies. However, the SEC usually asks for identification of the large "beneficial" owners. They are the persons or institutions who receive the dividends, but not necessarily the same persons or institutions empowered to vote the stock.

IDENTITY OF VOTERS SOUGHT

Four of the commissions forthrightly ask for identification of security holders with the "highest voting powers" or similar phraseology—at least in some instances. The Federal Maritime Commission asks water carriers for the top 30 security holders and their voting powers. (However, freight forwarders need report to the FMC only stockholders who individually own or hold 5 percent or more of the stock, and the beneficial owners of those holdings if other than the individual owner or listed holder.)

The Federal Communications Commission requests reports on holders of 3 percent or more voting interest in broadcast companies, and generally makes supplemental

¹ *Financial Markets*, Hearings before Subcommittee on Financial Markets, Senate Finance Committee, on impact of institutional investors in the stock market, 93d Congress, First Session, July 24-26, 1973, Part I.

² However, Congress has never acted on the Natural Gas Information Act which the Federal Power Commission has regularly requested since the 1950's.